# What the New Law Says and What It Does to a Person

*A plain-language breakdown of the AISH-to-ADAP transition, read from the regulation itself*

Assured Income for the Severely Handicapped General Regulation (AR 96/2026)
Financial Statutes Amendment Act, 2025 No. 2 (Bill 12)
ALSS Adjudication Guide (July 2026)


*The Alberta Disability System Breakdown*

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# How to read this document

Everything in this breakdown is quoted from the law itself, or from the government's own published guide. Where you see a passage in italics, those are the government's words, not ours, with the exact section number underneath so you can check it. We have set out what each provision says, and then, plainly, what it does to a real person.

One section is deliberately left for a follow-up: the exact list of decisions you are and are not allowed to appeal. The published version of that regulation has not been updated for the new programs, and we will not print a list we cannot verify against current law. That gap is itself a finding, and we explain it at the end.

The single most important word in this whole document is **may**. Almost every power below is discretionary. The law rarely says a director *must* cut a benefit. It says a director *may*. That means much of what happens depends on one person's opinion, and there are very few published rules telling that person how to decide.

# 1. Two programs, one dividing line

As of July 2, 2026 there are two programs, and one word separates them.

> *To receive AISH, an individual must have a severe disability that* ***permanently prevents*** *employment.*
> *To receive ADAP, an individual must have a severe disability that* ***substantially impedes*** *employment continuously or episodically.*

ALSS Adjudication Guide, July 2026, p. 2.

Prevents versus impedes. That one word decides which program you land in, how much money you receive, and what is expected of you. AISH pays a higher living allowance and asks nothing about work. ADAP pays less and makes participation in employment a condition of the benefit.

> **The word that matters**
> AISH — **permanently prevents** employment.
> ADAP — **substantially impedes** employment.
> Everything else in this document flows from which side of that line you are placed on.

# 2. The provision that penalises episodic illness

This is the most important single provision in the new regulation, and it applies to ADAP only. Here it is, word for word.

> *A director may refuse, suspend, vary or discontinue a benefit provided under section 3.02 of the Act ... if, in the director's opinion, the applicant or client has (a) refused to seek or accept or has **reduced or terminated** the applicant's or client's reasonable employment, or (b) refused or neglected to participate in or make use of an employment support.*

AR 96/2026, section 15(4). Applies to ADAP (section 3.02) only.

Now set it beside the duty to report, in the same regulation:

> *An applicant or client must notify a director of ... the termination or commencement of employment.*

AR 96/2026, section 16(a).

### Read those two together and a loop appears.

A person with MS, lupus, ME/CFS, Crohn's, bipolar, long COVID, epilepsy, migraine, fibromyalgia or EDS has a flare. They reduce their hours because their body forces them to. Section 16 says they **must report** that reduction. And section 15(4) makes that same reduction **a ground to cut their benefit**.

> **The loop, in plain words**
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> You flare. You reduce your hours. You are required by law to report it.
> And the report is a reason they are allowed to cut you.
> There is no exemption for illness, incapacity, or a flare anywhere in the regulation. We read all 36 pages looking for one. There is none.

Two of the terms this provision turns on are never defined. "Reasonable employment" appears once in the entire regulation, here, and is defined nowhere in the Act or the regulation. "Employment support" has no substantive definition either; section 14 simply says the Minister may determine the types. So the trigger for a benefit cut rests on two terms that carry no published meaning.

One note for the record. Section 15(4) says the director **may** do this. It is discretionary, and we know of no case where it has been used. But the power exists, it is written down, and it points squarely at the people whose disabilities come and go. Say both, always: the power is real, and it has not yet been used.

And the government knows exactly what episodic illness is, because its own guide describes it:

> *Episodic, cyclical, and/or recurring conditions may recur by their very nature. With each recurrence, treatment and recovery can become more complex, and functioning may decline over time ... The cumulative effect of these conditions can result in severe disability.*

ALSS Adjudication Guide, July 2026, p. 7.

The same ministry, in the same month, both recognises that these conditions can amount to a severe disability and writes a rule that makes their recurrence a reason to cut the benefit.

## 3. How they decide which program you land in

The Adjudication Guide sets out the criteria an adjudicator uses to place you. Some of these criteria appear nowhere in the Act or the regulation. Here they are, word for word.

> *Applicants will be placed on ADAP if* ***any*** *of the following situations are true: The applicant is currently working above the nominal threshold of employment allowed in AISH. The applicant has* ***expressed willingness to work****. The applicant* ***does not have proof of prior participation in employment services*** *(public or private).*

ALSS Adjudication Guide, July 2026, p. 8.

And immediately after that list:

> *Eligibility for ADAP means a person is considered ineligible for referral to the AISH MRP.*

ALSS Adjudication Guide, July 2026, p. 8. (MRP = the Medical Review Panel that grants AISH.)

**Read those together and two traps appear.**

**Trap one — hope disqualifies you**

Say you would like to work, and you are placed on ADAP.
Being on ADAP means you cannot be referred to the panel that grants AISH.
So expressing hope about working is a reason to route you away from the program for people who cannot work.

**Trap two — never working disqualifies you**

Never having used employment services places you on ADAP.
For a person whose disability was diagnosed before working age, there is no employment history to show.
That absence is the entire case for AISH.
And that same absence is used as a reason to place them on ADAP instead.

Notice the direction. A person who tried to work and failed has a record. A person who was too disabled to ever try has nothing to show. The criterion sorts hardest against the people it should be sorting toward AISH.

This matters because the Act itself says the disability determination must be made "without considering any factors other than the person's severe disability and its impact on the person's ability to participate in employment." Willingness to work and service history are not the severe disability. Whether these guide criteria can stand beside that statutory instruction is a serious question, and one we are pursuing.

# 4. How your income is counted — and the clause with two answers

For self-employment income, the regulation sets a default and then hands the director a lever that can undo it.

> *Self-employment income is determined ... based on the previous year's self-employment income, prorated over 12 months.*

AR 96/2026, Schedule 1, section 6(3).

So a person who earns, say, $10,000 at one craft show a year should read as roughly $833 a month. That is the default. Then comes this:

> *If, in a director's opinion, income is reported that relates to a different or longer period than the period in which the income is reported, the director may* ***apply the income to, or prorate the income over****, the different or longer period.*

AR 96/2026, Schedule 1, section 6(5).

> **One sentence, two opposite outcomes**
> "Apply the income to, or prorate the income over."
> Same clause. Same director. Same opinion. One choice spreads a craft show across the year. The other drops the whole amount onto one month, taking the benefit for that month to zero.
> The regulation permits both and gives no rule for choosing between them.

This is why self-employed members have never been able to get a straight answer. There is no straight answer in the law to get. The outcome depends on one person's opinion on the day, and there are no published criteria for how that opinion is formed. If this happens to you, the question to ask, in writing, is: which subsection of Schedule 1, section 6 was used to determine my income, and why that one.

There is also a penalty clause worth knowing about, because of how it is drafted:

> *The deductions ...* ***do not apply*** *if a director determines that income has not been reported in a timely manner or has been willfully misreported.*

AR 96/2026, Schedule 1, section 5.

Notice the drafting. Section 15(4) says a director "may" cut a benefit. This one says the deductions "do not apply." The drafters knew how to write discretion and chose not to here. Only misreporting requires intent. **Lateness alone** is enough to strip your income exemptions, whether the lateness was wilful or not.

## 5. The benefit designed with a hole in it

When another program pays part of a cost, who pays the rest? The answer depends entirely on which kind of benefit it is, and the regulation treats the two kinds very differently.

For a **health benefit**, the regulation contains a gap-filler:

> *If a benefit available from another program or source is not equal to a health benefit ... a director may provide,* ***as the payor of last resort, a health benefit for the difference****.*

AR 96/2026, section 13(3).

For a **personal benefit**, there is no such clause. There is only this:

> *A personal benefit **must not** be provided if the same or a similar benefit is available from another program or source.*

AR 96/2026, section 12(2).

> **Partial coverage is treated as full coverage**
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> The words "payor of last resort" and "for the difference" appear exactly once in the entire 36-page regulation — in the health benefits section, and nowhere in personal benefits.
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> So when Aids to Daily Living covers most of a supply and bills you the rest, the supply counts as "available from another program," and a personal benefit "must not" be provided for the gap.
>
> Compression stockings, medical supplies, and special diets are personal benefits. The remainder you are billed is a permanent, uncovered cost — by design.

The drafters knew how to write a gap-filler. They wrote one. They put it in health benefits and left it out of personal benefits. Whatever the reason, that is the effect: a person whose disability requires ongoing supplies carries a cost the system has structured itself never to pay.

One more thing to watch. Personal benefits can come attached to a repayment condition:

> *To be eligible to receive a personal benefit ... a person must, if required by a director, agree to repay the benefit.*

AR 96/2026, section 2(8).

Covered is not the same as free. Before signing anything for a personal benefit, or for the reassessment fee, ask in writing: is this a benefit or a loan, and will I be asked to sign a repayment agreement.

## 6. The transition, and what you can appeal

Three different things get collapsed into the phrase "ADAP has no appeals." They are not the same, and keeping them apart matters.

**The move itself is barred.** Being transferred from AISH to ADAP cannot be appealed. This is in the Act, word for word:

> *For greater certainty, a formerly eligible client has no right of appeal with respect to the formerly eligible client's transition under section 12.6 to the Alberta disability assistance program.*

Bill 12 (SA 2025 c20), new section 12.8.

Note carefully what this bars: the **move**. On its face it does not bar appealing a benefit decision made later. And the Act expressly allows the new amount to be lower:

> *The amount or value of a benefit ... **may be less than** the amount or value of the same type of benefit the formerly eligible client received ... under section 3 of the former Act.*

Bill 12 (SA 2025 c20), new section 12.6(2).

**The right of appeal still exists.** Bill 12 did not abolish it. It moved it into a new section:

> *A person affected by a decision of a director ... may appeal that decision if (a) the decision is not exempt from appeal under the regulations, and (b) the appeal is made in writing to an appeal panel within 30 days ...*

Bill 12 (SA 2025 c20), new section 10.1(1).

> **Why we are not printing an exemption list here**
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> The right to appeal survives. Whether a particular decision is exempt depends on a list in the appeals regulation.
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> The only published version of that regulation is dated April 1, 2022. It still refers to the old section of the Act and to a regulation that was repealed on July 2, 2026.
>
> So twelve days after the largest change to this system in twenty years, the document that tells a disabled person which decisions they may appeal **has not been updated**. We will publish the appeal breakdown as a follow-up, from the current instrument, once it is confirmed. We will not print a list we cannot stand behind.

One thing that is confirmed, from the government's own appeal pages: there are now two panels. The Citizen's Appeal Panel hears non-medical decisions, including "a decision to change, stop, or not approve your monthly or non-medical benefits." The Medical Appeal Panel hears medical eligibility decisions — and those hearings are held **by document review only**. You never speak to the panel that decides your medical eligibility.

## 7. The door back to AISH

**If you were moved to ADAP and believe you belong on AISH, there is a route back, and the most important thing about it is this: it has no deadline.**

The appeal window closed on June 30. If you did not appeal, do not carry guilt about it. That door was built to close. The reassessment door was not. The government's own guide says clients "can choose to stay on ADAP or apply to return to AISH at any time," and that it "will cover the cost of one medical reassessment."

It is not automatic. You have to ask. And when you ask, ask in writing whether the assessment is fully covered and whether you will ever be required to repay it, because we have not been able to confirm that it is free, and we will not tell you it is until we can.

The route runs through a fresh Disability Income Assistance Application, which means the medical report is the whole game. The government's own guide says a report stating someone "has a disability" or "experiences substantial impairments" does not, on its own, establish eligibility. Ask your doctor to write that treatment is for ongoing management to maintain your current level of function, with no further improvement expected. Not "we are managing it," which reads as improvement pending. Get the report back in your hands and read it before it goes in.

## What you can do

Ask in writing. Every time. A phone call vanishes; a written question forces a written answer that names a section, and a decision on the record is a decision that can be looked at. When a benefit is cut, ask which provision was used. When income is applied to one month, ask which subsection of Schedule 1 section 6 was used, and why. When a personal benefit is offered, ask whether it must be repaid. When you want back on AISH, ask for the covered reassessment, and ask whether it is truly free.

None of these questions is aggressive. Each is fair, and each one turns an opinion into a document. That is how a scattered set of individual decisions becomes a record — and the record is what changes things.

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*Every quotation in this document is from the Act, the regulation, or the government's own published guide, cited by section. Nothing here is our interpretation dressed as law. Where the published law is out of date or unclear, we have said so plainly rather than fill the gap.*

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